

BUS 577 – Platform Power – Summer 2026

Session 6: Platform Metrics

Measuring What Actually Matters

Thursday, July 30, 2026

6:00 – 7:30 PM PT - Zoom

Alex Cheng

Individual Quiz #2 – Opens Next Week



Opens Aug 4, 2026, 12:00 AM PT
Due Aug 7, 2026, 11:59 PM PT



15-minute time limit
Once started, the clock doesn't stop



2 attempts allowed
Highest of the two scores is kept



Covers Part 2 concepts
Sessions 4–6 material

QUIZ DETAILS

Canvas Quiz

Opens:	Aug 4, 2026 – 12:00 AM PT
Due:	Aug 7, 2026 – 11:59 PM PT
Time limit:	15 minutes
Attempts:	2 – highest score kept
Coverage:	Part 2 (Sessions 4–6)

Group Case Study #1 – Rubric Now Posted

EPIC GAMES: NINETEEN EIGHTY-FORTNITE



Written case analysis

4–5 pages + exhibits/references, as a group



Canvas submission only

One submission per group



15% of final grade

Rubric is prescriptive on frameworks, open on conclusions

CASE DETAILS

Epic Games: Nineteen Eighty-Fortnite

Materials:	HBS 721-395 (A), 725-400 (B)
Lens:	Monetization & pricing power
Format:	Group written analysis
Length:	4-5 pages + exhibits
Weight:	15% of final grade (15 pts)
Due:	Aug 3, 2026 – 11:59 PM PT

Monetization: Pricing Strategy for Platforms

1. Why GMV and DAU mislead you
2. Platform-specific metrics: liquidity, matching quality, failure rate
3. Trust as an operational metric – Airbnb's expansion story
4. Lifecycle metrics: different dashboards by stage
5. APIs as growth infrastructure – Stripe, Twilio, AWS

TAKEAWAY

Platform Health Dashboard

5 metrics. Why each matters. What triggers a management response.

The Standard Marketplace Metrics Toolkit

Mostly Experts: Marketplace Metrics – Mostly Metrics

1. Revenue Mechanics

GMV (Gross Merchandise Value) = throughput, not revenue. Most goes to the seller. Take rate (Net Revenue $\div$ GMV) shows real pricing power.

2. Liquidity & Matching

Can a listing find a buyer? Can a searcher find what they want? Supplier:customer ratio (customers per supplier) shows which side limits growth.

3. Retention & Durability

Repeat purchase ratio. Retention cohorts. CAC (cost to acquire) and LTV (lifetime value) on both sides. Switching costs — how easily users leave for a rival.

GMV Is Throughput, Not Revenue

Q: Why Such Different Ratios?

Airbnb's ratio (customers per host) is about 1:70.

eBay's is about 1:5.

What does that tell you about each business?

Which side is the real constraint on growth?

Q: Why Did Switching Cost Nothing?

Substack and Medium feel nearly identical to readers and writers.

People switched between them with almost no friction.

What would you build into a platform today to make switching away from it actually costly?

GMV Retention: The Metric Most Founders Ignore

Olivia Moore – GMV Retention: The Marketplace Metric Most Ignore

- **ACo** and **BCo**: two rival marketplace startups, launched at the same time.
- Same growth. Same 25% seller retention on each platform.
- But sellers who stay on BCo double their monthly GMV – growing their business there. ACo's sellers plateau.
- By year end: BCo is nearly 2x ACo's size.

A “cohort” = users who all started at the same time (e.g., every seller who joined in January), tracked as a group – so new signups can't hide a shrinking early group.

User Retention

% of a cohort that comes back and buys again. Shows how many people stayed. Says nothing about how much they're worth.

GMV Retention

% of a cohort's monthly spend that persists over time – no matter the headcount. No 100% ceiling. If survivors grow their business, it can climb well above 100%.

A Leaky Bucket Can Still Look Like Growth

Q: Same Retention – So Why 2x the Size?

ACo and BCo are two rival marketplace platforms.

Each retained the exact same 25% of its sellers.

So why did BCo end up nearly twice ACo's size by year end?

Q: How Would You Fix ACo?

ACo doesn't have a growth problem.

It has a leaky bucket: the sellers who stay aren't growing their business there.

If you ran ACo's product team, what's one lever you'd pull – supply side or demand side – to get those sellers spending more?

Platform-Specific Metrics

- A platform's core value isn't a transaction funnel. It's a match.
- Pipeline metrics (funnel conversion, DAU = daily active users, session length) don't measure the match itself.
- These four do:

1

Liquidity

Can a listing find a buyer?
Can a searcher find what they want? The foundational platform metric — from Gustafson.

2

Matching Quality

Not just "did a match happen" — was it a good one? A poor match is a different problem than no match at all.

3

Interaction Failure Rate

Zero-result searches.
Abandoned carts.
Unanswered requests.
Timeouts. The mirror image of liquidity.

4

Producer:Consumer Ratio

Same ratio idea from Gustafson — now a health signal, not just a description. Too skewed either way, and the platform needs to rebalance.

All four measure the match itself — not just funnel behavior.

Q: Is That Really a Match?

Uber shows you a ride is available.

But the ETA is 18 minutes and the price has surged 2.5x.

Is that liquidity?

Is it a good match?

Where's the line between "a match happened" and "a match worth having"?

Q: When Does a UX Problem Become a Board Metric?

Amazon shows "out of stock," or a search returns zero results.

To a user, that's just annoying.

How would you turn it into a metric an executive actually acts on?

Airbnb: Why Trust Had to Come Before Growth

How trust infrastructure enabled international expansion

- Staying in a stranger's home is riskier than buying a product online.
- A bad match here can mean real physical danger — not just a bad purchase.
- So Airbnb couldn't bolt trust on later. It had to build trust first, before it could grow.

1

Verified ID + Profiles

ID checks and full profiles meant hosts and guests weren't total strangers. Amazon and eBay never have to solve this — nobody sleeps in a stranger's house.

2

Two-Sided Reviews

Hosts rate guests. Guests rate hosts. Both sides know they're being watched — so both sides behave better.

3

Host Guarantee / Insurance

Insurance covered hosts if something went wrong. That gave them confidence to list nicer homes, even in new markets.

*Every country has different norms — home-sharing, ID checks, disputes.
So Airbnb rebuilt trust country by country. That's why growth was slow and deliberate.*

Q: What's the Trust Equivalent Here?

Pick a platform you've used – Uber or DoorDash.

What invisible trust infrastructure had to exist before you'd actually use it?

Q: What's on the CEO's Dashboard?

If you were Airbnb's head of trust & safety, what's the one number you'd put on the CEO's dashboard?

What threshold would trigger you flagging it to the board?

Metrics Change by Stage – Plus APIs as Growth Engines

Startup

Focus: liquidity and activation. Can a match happen at all, and do new users get value fast? GMV and take rate barely matter yet.

Growth

Focus: retention and GMV retention. Is growth real – or is it just covering up churn underneath?

Maturity

Focus: take rate, margin, and the balance between buyers and sellers. How much value can you capture without breaking liquidity?

- Stripe, Twilio, and AWS charge by usage.
- As a customer's business grows, so does their bill – automatically.
- Anyone can sign up and start using the API right away.
- So the API itself becomes how new customers find and try the product – not just how it's delivered.

Usage-based pricing makes growth and revenue the same number. Where could that hide a blind spot?

Platform Health Dashboard: One Page

Worked example: Uber

METRIC	WHY IT MATTERS	MANAGEMENT-RESPONSE TRIGGER
Liquidity	Can a ride actually be found and matched	Wait times spike or drivers sit idle in a zone
GMV Retention	Distinguishes real growth from a leaky bucket	New rider cohorts spend meaningfully less than older cohorts
Interaction Failure Rate	Diagnoses friction pipeline metrics miss	Sustained rise in "no cars available" or cancellations
Trust / Safety Metric	Gates expansion into new cities or countries	Incidents or disputes climb faster than ride volume
Take Rate / Driver Balance	Signals when pricing power is pushed too far	Take rate rises while driver churn or surge complaints increase

A reference framework — apply it to any platform you analyze, including your Epic Games case.

What we did today

- Why GMV and DAU can mislead you
- Platform-specific metrics: liquidity, matching quality, failure rate
- Trust as infrastructure – the Airbnb story
- Dashboards change by stage – plus APIs as growth engines

NEXT SESSION

Session 7: Build, Buy, or Ride?

Platform vs. Full-Stack Strategy for Startups

When riding a platform is an accelerant vs. a trap, platform envelopment, and lock-in as a strategic lever.